

PPE including intangibles and right of use assets increased by 8% primarily at the Netherlands operations mainly on account of foreign exchange movement and due to acquisition of LAG – Velsen at UK operations on account of increase in capital work in progress and foreign exchange movement and at Tata Steel India on account of increase in capital work-in-progress mainly at Kalinganagar Phase-II and Ludhiana EAF, which was offset by depreciation and amortisation charge during the year.

k) Inventories

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Finished and semi-finished goods including stock in Trade	18,189	17,679	3
Work-in-progress	6,621	5,436	22
Raw materials	15,375	14,662	5
Stores and spares	7,064	6,813	4
Total Inventories	47,249	44,590	6

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	23,059	22,934	1
Tata Steel UK Operations	5,089	5,095	(0)
Tata Steel Netherlands Operations	15,262	13,047	17
NINL	916	881	4
South East Asia	1,118	1,106	1
Others	2,038	1,673	22
Eliminations & Adjustments	(233)	(146)	(60)
Inventories	47,249	44,590	6

Increased by 6% primarily at the Netherlands operations on account of exchange translation impact.

Increase in others is mainly on account of acquisition of Tata Steel Colors Private Ltd. and Brahmani River Pellets Private Ltd. partly offset by lower raw material inventory at Tata Steel Minerals Canada.

l) Trade receivables

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	1,632	1,566	4
Tata Steel UK Operations	533	958	(44)
Tata Steel Netherlands Operations	2,310	2,737	(16)
NINL	1,281	88	1,356
South East Asia	1,117	1,118	(0)
Others	9,544	6,742	42
Eliminations & Adjustments	(11,500)	(7,949)	(45)
Net trade receivables	4,917	5,260	(7)

Decrease was primarily at the UK and the Netherlands operations due to securitisation of receivables. Increased at NINL mainly due to change in credit terms (eliminated on consolidation). Increase in Others was primarily due to acquisition of Tata Steel Colors Private Ltd. and Brahmani Rivers Pellets Private Ltd.

m) Gross debt and Net debt

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Gross debt	92,382	94,801	(3)
Less: Cash and Bank balances (incl. Non-current balances)	10,570	11,779	(10)
Less: Current investments	1,004	443	127
Less: Foreign currency hedges against borrowings	664	149	343
Net debt	80,144	82,430	(3)

Net debt was lower by ₹2,286 crore over previous year.

Gross Debt at ₹92,382 crore was lower by ₹2,419 crore as compared to the previous year. Decrease in Gross Debt was mainly due to net repayment of borrowings of ₹9,105 crore mainly at UK operations, at the Netherlands operations and at Tata Steel Minerals Canada offset by increase in debt at Tata Steel Standalone. This was partly offset by increase in rupee value of foreign currency bonds and loans due to adverse exchange movement and addition of new leases.

The decrease in Net Debt was in line with decrease in gross debt.

n) Cash Flows

	FY2025-26	FY2024-25	Change (%)
Net Cash from/(used in) operating activities	35,064	23,138	52
Net Cash from/(used in) investing activities	(14,905)	(13,799)	(8)
Net Cash from/(used in) financing activities	(21,387)	(7,002)	(205)
Net increase / (decrease) in cash and cash equivalents	(1,228)	2,337	(153)

Net cash flow from/(used in) operating activities

During the year under review, the net cash from operating activities was ₹35,064 crore as compared to ₹23,138 crore during the previous year. The cash inflow from operating profit before working capital changes and direct taxes during the current year was ₹34,219 crore as against ₹23,929 crore during the previous year reflecting increase in operating profits during the current year. Cash inflow from working capital changes during the current period was ₹5,442 crore primarily due to increase in current/non-current financial assets by ₹447 crore, increase in financial liabilities/provisions ₹4,599 crore and decrease in inventory by ₹1,290 crore. The payment of income taxes during current period was ₹4,597 crore as compared to ₹2,998 crore in previous period.

Net cash flow from/(used in) investing activities

During the year under review, the net cash outflow from investing activities was ₹14,905 crore as against an outflow of ₹13,799 crore during the previous year. The outflow during the year broadly represents capex of ₹14,559 crore primarily at India and at Europe and on account of acquisition of subsidiaries/undertakings ₹2,846 crore during the current period (previous year: 6 crore). Fixed/restricted deposits with banks placed during the year ₹1,147 crore (previous year ₹952 crore), net purchase of current investments ₹298 crore during the current period (previous year sale of: ₹531 crore) and purchase of non-current investment ₹255 crore during the current period (previous year: ₹393 crore). Further, cash inflow during the current period represents sale of capital assets ₹863 crore (previous year: ₹514 crore), sale of business undertakings ₹611 crore (previous year: ₹28 crore), Fixed/restricted deposits realised ₹1,090 crore (previous year: ₹467 crore), interest received ₹650 crore (previous year: ₹616 crore), grant received on acquisition of property, plant and equipment ₹533 crore (previous year: nil) and dividend income received ₹408 crore (previous year: ₹294 crore).

Net cash flow from/(used in) financing activities

During the year under review, net cash outflow from financing activities amounted to ₹21,387 crore as against outflow of ₹7,002 crore during the previous year. The net outflow primarily represents repayment of long-term borrowings ₹23,897 crore (previous year: ₹16,079 crore), interest paid ₹8,066 crore (previous year: ₹8,119 crore), dividend paid ₹4,490 crore (previous year: ₹4,489 crore) and payment of lease obligations ₹1,162 crore (previous year: ₹971 crore). Further, cash inflow during the current period represents proceeds from long-term borrowings ₹12,092 crore (previous year: ₹23,893 crore) and proceeds from short-term borrowings ₹3,861 crore (previous year repayment: ₹1,518 crore).

o) **Changes in Key Financial Ratios**

The change in the key financial ratios as compared to previous year is stated below:

	FY2025-26	FY2024-25	Change (%)
Inventory Turnover (days)	73	80	(8)
Debtors Turnover (days)	8	10	(17)
Current Ratio (Times)	0.80	0.90	(11)
Interest Coverage Ratio ¹ (Times)	4.72	3.12	51
Debt Equity (Times)	0.99	1.07	(8)
Net Debt Equity (Times)	0.82	0.90	(8)
EBITDA Margin ² (%)	15.01	11.81	27
Net Profit Margin ³ (%)	4.69	1.45	223
Return of average Equity ³ (%)	11.16	3.45	223

¹ **Interest Coverage Ratio:** Increased primarily on account of increase in operating profits along with lower finance cost.

² **EBITDA Margin (%):** Increased primarily on account of increase in operating profits for the year as compared to previous year.

³ **Net Profit Margin and Return on average equity:** Increased primarily on account of higher profit during the year mainly attributable to higher operating profits and lower net finance charge partly offset by higher exceptional charge as compared to previous year.

VII. Corporate Finance**Central Banks and Monetary Policy:**

FY2025-26 was expected to see supportive global financial conditions, driven by a gradual moderation in inflation. The IMF's January projections reflected this outlook, with global inflation expected to ease from 4.1% in 2025 to 3.8% in 2026, and 3.4% in 2027, indicating an accommodative monetary environment. This baseline has since been challenged by escalating geopolitical tensions in the Middle East, which triggered a sharp energy shock following the closure of the Strait of Hormuz, a critical transit route for nearly 20% of global oil shipments. As

a result, global inflation is now forecast to rise to 4.4% in 2026, before easing to 3.7% in 2027, assuming the conflict does not protract. These developments have heightened inflationary risks and increased uncertainty around the pace of monetary policy normalisation, necessitating closer monitoring and potential recalibration of central bank policy measures globally.

Key Benchmark Policy Rates – FY2025-26

Central Bank	Rate at Apr 2025	Rate at Mar 2026	Policy Outlook
US Federal Reserve	4.25 – 4.50%	3.50 – 3.75%	Data-dependent hold; tariff & energy risks monitored
European Central Bank	2.50%	2.00%	Extended pause; energy prices on watch
Bank of England	4.50%	3.75%	Limited easing room; Elevated inflation, driven by the Middle East conflict
Bank of Japan	0.50%	0.75%	Continued normalisation
Reserve Bank of India	6.25%	5.25%	Neutral stance; No preset course
PBOC (China)	3.10%	3.00%	Moderately accommodative; continued stimulus

Advanced Economies

The US Federal Reserve implemented three 25 bps rate cuts during FY2025-26, reducing the federal funds rate to 3.50% - 3.75%, before pausing at its January 2026 meeting. While headline CPI had eased to 2.4% in January, renewed geopolitical tensions in the Middle East disrupted supply chains, leading to a surge in oil prices and pushing inflation back up to 3.3% in March. This resurgence has increased uncertainty around earlier expectations that policy normalisation would stabilise labour market conditions and guide inflation sustainably toward the 2% target. Any further rate cut decisions will depend on the scope and duration of the Middle East conflict, expectations around AI led productivity gains, and the impact of renewed global trade tensions.

The European Central Bank (ECB) reduced its benchmark rate to 2.00% by mid-2025 and maintained an extended pause thereafter, with inflation returning to target ranges. However, performance across member states remained uneven: Germany continued to face weak industrial demand and elevated energy costs, although expansionary fiscal measures are expected to support a growth recovery, while France contended with rising fiscal pressures. More recently, a sharp increase in energy prices has raised concerns about pressure on consumer spending, prompting the ECB to closely monitor the macroeconomic outlook, particularly inflation risks, as it assesses potential policy adjustments in 2026.

In the United Kingdom, the Bank of England (BoE) cut its policy rate by 100 bps in 2025 to bring it down to 3.75% to support economic activity. Inflation eased from 3.8% to 3.4% by December 2025 but remained above the 2% target, limiting further monetary accommodation.

Japan and China

Bank of Japan continued its normalisation journey, raising its policy rate to 0.75%; its highest in three decades as policymakers grew more confident in achieving sustainable inflation.

China maintained a moderately loose monetary policy, supported by interest rate cuts, and targeted fiscal measures to counter deflationary pressures. Growth remained uneven, with weak domestic demand, particularly in the housing sector continuing to lag, while strong exports provided key support. Export momentum strengthened as shipments were redirected from the United States toward other Asian markets and Europe, driving a record trade surplus in 2025.

India

During the period from February 2025 to March 2026, the RBI reduced the repo rate by a cumulative 125 basis points, bringing it down to 5.25%. The easing cycle was supported by lower headline CPI falling in first half of FY2025-26 and strong GDP growth estimate of 7.6% in FY2025-26. At its last meeting, the RBI retained a neutral stance to support the transmission of past cuts, while acknowledging that the external backdrop had become less benign. The evolving conflict in the Middle East, higher crude prices, and the resulting uptick in global risk aversion along with related currency and financial-market movements have the potential to complicate policy choices for emerging markets. Against this backdrop, the RBI will calibrate its stance carefully, balancing renewed inflation risks against the possibility of expected growth moderation.

India remains Tata Steel's largest and fastest-growing market. The accommodative rate environment continues to support steel demand across infrastructure, construction, automotive, and consumer sectors. Concurrently, The Company's strategic transition toward rupee-denominated financing aligns borrowing costs more closely with domestic market conditions.

Policy Outlook & Key Risks:

Ahead of the escalation in geopolitical tensions, monetary policy across advanced economies was broadly accommodative/neutral and data dependent, with central banks closely monitoring inflation and growth trends. Central banks across major economies adopted a wait and watch approach, keeping policy rates unchanged as they assessed evolving macroeconomic conditions and policy transmission. However, the intensification of the Iran related conflict in February 2026 caused supply chain disruptions, particularly in energy markets, leading to higher pressure on oil and other commodity prices. Brent crude rose above USD 100 per barrel, from around USD 70 earlier in the year, increasing inflation uncertainty and reducing the likelihood of near term rate cuts. These developments have added volatility to input costs and demand conditions, which the Company continues to monitor closely.

Balance Sheet Management

Tata Steel follows a disciplined and dynamic capital allocation framework, balancing investments in India's capacity expansion, transition programmes in the UK and the Netherlands, shareholder returns, and continued deleveraging.

Despite sizable capex during FY2025-26, net debt declined to ₹80,144 crore, supported by robust operating cash flows. Net Debt to EBITDA improved to 2.3x from 3.2x in FY2024-25. Net debt declined from ₹82,430 crore in March 2025 to ₹80,144 crore in March 2026, as EBITDA generation and working capital release more than offset capex outflows.

Debt Composition & Maturity Profile

During FY2025-26, the Company proactively refinanced financial obligations at competitive terms, capitalising on favourable credit markets and maintained investment-grade status. Tata Steel continued to repay overseas debt and progressively replaced foreign currency borrowings with Rupee-denominated instruments. This reduced exchange rate exposure and optimised the blended cost of debt. Tata Steel's debt maturity profile remains well-distributed, to avoid near-term concentration risk.

Liquidity Position

Tata Steel closed FY2025-26 with cash and bank balances (including current investments) of ₹11,573 crore, supplemented by undrawn credit facilities of ₹33,664 crore, providing adequate

headroom for operational requirements, scheduled maturities, and ongoing capex. During the year, the Company broadened banking relationships through the onboarding of new lenders, further diversifying funding base.

Working Capital Management

Proactive engagement with customers and suppliers on payment terms, combined with disciplined inventory management, reduced Company's inventory days from 80 days in FY2024-25 to 73 days in FY2025-26, contributing a net working capital cash inflow of ₹5,442 crore during the year.

Growth & Acquisition Capital

FY2025-26 marked the successful completion of several organic growth initiatives, highlighted by the final stage ramp up of the 5 MTPA expansion at Kalinganagar, along with the commissioning of the 2.2 MTPA Cold Rolling Mill (CRM) complex and inauguration of the ~0.75 MTPA Electric Arc Furnace (EAF) facility at Ludhiana, Tata Steel's first scrap based steelmaking unit in India. These investments are expected to enhance free cash flow generation from FY2026-27 onward as volumes scale and the product mix shifts toward higher-value automotive and special grades.

On the other hand, inorganic initiatives included acquiring full ownership of Tata Steel Colors Private Ltd., a controlling stake in Thriveni Pellets Private Limited and acquiring full ownership in LAG Velsen B.V. (Vattenfall Power Plant). Together, these strengthen downstream integration, secure pellet availability, diversify raw-material sourcing and reduce structural working-capital intensity across cycles.

Green Transition & Decarbonisation Capital

Tata Steel remains committed to achieving net-zero steelmaking by 2045. In India, the inauguration of the Ludhiana EAF plant marks the Company's first low-emission steelmaking route, supported by higher scrap utilisation and substitution of coal with biochar and natural gas in BOF operations.

Tata Steel continues to advance breakthrough technologies including HIsarna and EASyMelt, alongside expanded CCUS pilots in collaboration with leading R&D institutions. The Board has approved a 1 MTPA HIsarna demonstration plant in India - one of the most significant green-steel commitments globally.

Tata Steel UK's decarbonisation project is at an advanced stage with site demolition works largely completed, orders placed and construction work on track.

Tata Steel Netherlands' plans for a decarbonisation and environmental improvement project were documented under a non-binding Joint Letter of Intent with the Dutch Government and the local Province in September 2025. The joint letter of intent is an important step towards finalisation of the detailed agreement conditional upon on completion of conditions precedent on both sides, resolution of regulatory challenges and viability of the business case.

Credit Ratings:

Tata Steel remains the only Indian steel producer with dual international investment-grade ratings from S&P Global Ratings and Moody's Investors Service, placing Company at par with India's sovereign rating.

International Ratings

S&P affirmed Tata Steel's 'BBB' Stable rating in December 2025, noting that growth capex will temporarily weigh on leverage, but that higher India volumes and cost reductions are expected to restore metrics within 12–18 months. Moody's reaffirmed 'Baa3' Stable in July 2025, citing Company's vertically integrated Indian operations, structural improvement in European assets post the UK upstream transition, and prudent financial policy.

Domestic Ratings

India Ratings reaffirmed Tata Steel's 'AAA / Stable' rating, making it the only Indian steel company rated AAA domestically; while CARE Ratings maintained 'AA+ / Stable', the highest among domestic steel peers. Both agencies cited Tata Steel's strong business risk profile, robust liquidity, and consistent deleveraging progress.

Credit Rating Summary – FY2025-26

Rating Agency	Rating	Outlook	Key Remarks
S&P Global Ratings	BBB	Stable	Sovereign-level rating; metrics expected to strengthen
Moody's Investors Service	Baa3	Stable	Sovereign-level rating; Strong India operations; balanced growth and leverage profile
India Ratings & Research	AAA	Stable	Only Indian steel company with AAA domestic rating
CARE Ratings	AA+	Stable	Highest among domestic steel peers

VIII. Risks and Concerns

Tata Steel operates in a dynamic global environment characterised by evolving regulatory and environmental

requirements, heightened geopolitical uncertainty, and rapid technological advancements. These factors pose material risks across the organisation's value chain. Tata Steel maintains a robust Enterprise Risk Management (ERM) framework to holistically assess and manage these exposures, supporting informed decision-making.

A robust governance structure has been developed across the organisation, in its journey towards Risk Intelligence, with a Risk Management Committee at the Board level and an Apex Risk Committee ('ARC') at Senior Management level, driving the ERM process across the Tata Steel Group.

Information regarding Key Risk facing Tata Steel and their mitigation strategies is given below:

Financial Risk

Tata Steel's strategic objective is to scale its capacity in India sustainably, capitalising on the country's growth trajectory while progressively advancing downstream India expansion to reinforce long-term growth and competitiveness. Tata Steel UK is undergoing transition to economically and environmentally viable operations through the Electric Arc Furnace ('EAF') route, and TSN is also planning to undergo decarbonisation in the coming years by implementing its green steel production plan. The transition involves substantial upfront costs and potential decommissioning expenses.

As of March 31, 2026, Tata Steel had a net debt of ₹80,144 crore. The Company plans to manage its debt levels and fund its growth through internal accruals and external capital raising from banks and capital markets. However, the cost of borrowings remains sensitive to global and domestic financial market dynamics and prevailing interest rate environments, as well as Environmental, Social and Governance ('ESG') factors.

Fluctuations in commodity markets due to trade uncertainties, exacerbated by geopolitical instability, currency exchange rate volatility also significantly influences the cost of capital and overall financial performance.

Mitigation Strategies

Tata Steel's mitigation strategies centre on robust cash flow generation and working capital optimisation. Continuous cost improvement programmes and portfolio restructuring are implemented across geographies to enhance operational efficiency. Tata Steel prioritises projects with high return on invested capital and short payback periods. The Company continues to focus on optimising its capital structure,

including onshoring foreign currency debt where appropriate. The Company is actively diversifying its funding sources, including exploring government grants for green initiatives, accessing diverse capital pools, and pursuing longer-term debt with flexible terms.

Tata Steel has also implemented the concept of 'One Treasury', which efficiently manages treasury operations for the entire Tata Steel Group including its subsidiaries. This comprehensive approach, combined with skillful management of cash flows, currencies, interest rate and commodity hedging, delivers better financial stability in a dynamic market environment. The Company continues to strengthen margin resilience through disciplined capital allocation to improve product mix and operational excellence across its Indian operations.

To address ESG-related financial risks, the Company is committed to collaborating with international partners and bodies like the Task Force on Climate-Related Financial Disclosures (TCFD) to enhance ESG disclosures, meet evolving standards, and establish a robust and sustainable financing framework. The Company actively engages with investors on the ongoing and planned initiatives to green its operations.

Macroeconomic and Market risks

In FY2025-26, the global economy operated in a challenging environment shaped by persistent geopolitical tensions and heightened trade policy risks. Ongoing conflicts, particularly in the Middle East, contributed to volatility in energy and freight markets, elevated supply-chain risks, and shifts in cross-border trade flows. A more restrictive trade regime, including wider use of tariff measures and the initial implementation of the European Union's Carbon Border Adjustment Mechanism (CBAM), further increased compliance complexity and costs for steel producers.

The global steel market continued to face pressure from structural imbalances, most notably the prolonged weakness in China's property sector, which constrained domestic steel consumption and resulted in elevated export volumes. Increased steel availability in seaborne markets intensified competition and weighed on benchmark prices across regions.

Global geopolitical instability including the escalating Middle East conflict and ongoing Russia-Ukraine tensions continues to impact energy markets, freight routes, and trade flows, contributing to volatility in steel prices and input costs.

In India, steel demand remained resilient in FY2025-26, supported by automotive production, government-led infrastructure spending, and steady construction activity, coupled with policy measures such as GST 2.0 that continued to strengthen formalisation, compliance, and supply-chain efficiency. However, domestic capacity additions increased supply and intensified competition, particularly in flat steel, where pricing was further impacted by competitively priced imports. Safeguard measures introduced from April 2025 helped moderate under-priced flat steel inflows, with import pressure easing and export opportunities improving through the year. In Long products, demand continued to be driven by infrastructure and urban development projects, although realisations were influenced by project execution timelines, regional demand phasing, and volatility in scrap and energy prices.

In Europe and the UK, prolonged weakness in end-use demand across construction, automotive and manufacturing sectors, coupled with elevated energy and carbon input costs, continued to weigh on operating leverage and price realisation. Especially in UK, these pressures were exacerbated by structural deficiencies in steel safeguard quota mechanisms, including misalignment of quota volumes with market demand, which led to continued high imports. Collectively, these factors impaired cost competitiveness and margin sustainability for Tata Steel's European operations, with quota-driven surges of lower-priced imports posing a particularly pronounced and recurring risk in the UK market until the introduction of quota changes and tariffs in line with the rest of the world in March 2026 by the UK Government.

In Thailand, billet imports rose significantly in 2025 to supply to the rerolling and electric furnace mills impacting domestic markets. Additionally, many induction furnace mills have an unfair cost advantage through lower pricing due to lower quality control and standards compliance, impacting TSTH competitiveness.

Mitigation Strategies

To address these market dynamics in India, the Company has predominantly strengthened its focus on the domestic market by enhancing its product portfolio and deepening its participation across automotive, branded offerings, and value-accretive industrial products. This strategy focuses on differentiated products, localisation, deeper customer engagement and portfolio diversification across structurally resilient end user segment.

- › **Automotive Leadership:** Tata Steel continued to strengthen its leadership position by commissioning and scaling up new downstream facilities that are enabling localisation of high-value automotive steels. The Continuous Annealing Line (CAL) and Continuous Galvanising Line (CGL) at Kalinganagar expanded domestic availability of advanced high-strength steel grades, while the Combi Mill at Gamharia enhanced dimensional precision and consistency for automotive applications. Collectively, these capabilities expand market addressability especially in the passenger vehicle segment, support evolving OEM requirements in safety, lightweighting, and formability, and improve product mix and margin resilience.
- › **Construction Solutions:** Tata Steel strengthened its construction solutions portfolio by expanding ready-to-use reinforcement capabilities through a digitally integrated network of 35 service centres, while adding innovative offerings such as Mobile Bore Pile cages and InQuik bridge solutions. This integrated model enhances service reliability through improved availability, faster turnaround times, and consistent product quality. The Company also scaled up Plate Fabricated Sections and increased participation across major industrial, commercial, and infrastructure projects, while expanding its presence in pre-engineered buildings and project-based businesses to diversify demand exposure.
- › **Growth in Value Added Segment:** Tata Steel continued to build momentum in its Engineering and Downstream segments by focusing on high-potential applications across railways, lifting and excavation, solar, shipbuilding, and oil & gas, while selectively entering emerging high-growth segments. Capacity ramp-ups at downstream facilities, new customer acquisitions, and approvals from global certification agencies supported higher value realisations and progressively reduced dependence on commoditised volumes.
- › **Culture of Continuous Improvement:** Across all geographies, the Company continues to implement structured improvement programmes to strengthen its position in value-added segments and lower cost-to-serve. These initiatives emphasise disciplined execution of improvement opportunities, with a clear focus on enhancing EBITDA and competitiveness through better operational performance, reduced process variability, higher yield and throughput, and improved service levels.

- › **Retail & Branded Sales:** Tata Steel strengthened its retail and branded play during FY2025-26, with Tata Tiscon, the Company's flagship B2C rebar brand, achieving its highest-ever annual retail volumes, reflecting sustained brand strength and deeper market penetration. Tata Steelium, catering to the SME segment, recorded strong growth of ~28%, supported by expanding applications and customer reach. The Company continued to address market white spaces through enhanced physical distribution and digital platforms such as Aashiyana 3.0 and DigiECA 3.0, improving customer engagement, ease of access, and stickiness across retail and SME segments.

Tata Steel Netherlands is implementing a focused set of actions to enhance its competitive position in EU-oriented markets by increasing the share of innovative, high-value products and progressively reducing exposure to commoditised segments that are more susceptible to import pressures. The business is optimising its portfolio by aligning long-term contracts with targeted product and market mixes, strengthening customer partnerships, and improving the quality of earnings through a more resilient order book.

In parallel, TSN is aligned with the EU Steel Action Plan in force, which strengthens trade defence, supports CBAM implementation, mitigates energy and carbon cost disadvantages, and reinforces a level playing field for European steel producers. The new tariff-rate quota (TRQ) system designed to address structural global overcapacity in the steel sector, including a significant reduction of import quotas and higher duties for imports exceeding those quotas.

Tata Steel UK (TSUK) is executing structural fixed-cost rationalisation measures aimed at lowering breakeven levels and reducing operating leverage under conditions of weak demand and price volatility.

TSUK is also aligning its transformation and decarbonisation roadmap with the UK Steel Strategy now in place, which provides a supportive policy framework covering trade remedies, energy-cost competitiveness, decarbonisation support, and supply-chain resilience.

TSTH strengthened performance through targeted actions. Retail and high-value rebar growth was driven by stronger partnerships, improved service and availability, selective project development, and better production planning. Price competitiveness was supported by market monitoring and advocacy on Thai Industrial Standards, while resilience was reinforced through expanded scrap sourcing and value-in-use cost efficiency.

Regulatory Risk

Tata Steel operates within a complex and rapidly evolving regulatory environment across India, the Netherlands, the UK, Europe and South-East Asia. Its diverse activities spanning mining, manufacturing, logistics, and international trade exposes it to key risks related to environmental regulation, ESG disclosures, competition law, labour and safety compliance, and cross-border trade controls.

Among these, environmental and climate-related regulations represent the most significant global risk. Critical areas include air emissions, water pollution, hazardous waste management, mine closure and rehabilitation, climate transition requirements, and community health impacts.

In the Netherlands, Tata Steel has come under increased scrutiny from regulators and local communities regarding emissions from its IJmuiden plant. This has resulted in legal action, including a €1.4 billion class action lawsuit filed in December 2025, along with the likelihood of stricter emission standards, potential operational constraints, financial penalties, and mandatory decarbonisation commitments linked to state support. Tata Steel Netherlands is already seeing significant regulatory risks related to the IJmuiden operating site play out. Based on the local Environment Agency's measurements of exceedances of emissions of substances versus certain prescribed limits, TSN has received multiple notices alleging non-compliance and has paid more than €20 million of penalties in FY2025-26 in relation to the coke and gas plants. Many of these notices and penalties relate to exceedances in connection with the legacy coke and gas plant infrastructure, designed and commissioned 40-50 years ago. The unavailability of technically and operationally feasible solutions limits our capability to address the issue within the expected time frame. The Environment Agency and the local Province have also on 23rd April, 2026 issued a letter to TSN indicating their intention to revoke operating permits and trigger an early closure of the coke and gas plants. TSN is also engaged with the regulators on evolving standards relating to classification and disposal of steel slag, where local requirements in the Netherlands now not only exceed EU standards but are threatening to become infeasible. TSN has also received regulatory notices in relation to dust emissions and other exceedances at its sinter plant and steel casters.

The steel sector is also highly impacted by global carbon pricing mechanisms. The EU's Carbon Border Adjustment Mechanism (CBAM) is particularly significant, affecting the cost structure, compliance requirements, and strategic positioning of carbon-intensive steel exports to Europe.

In India, Tata Steel's mining operations face extensive regulatory oversight. Key risks include mining lease renewals, environmental and forest clearances, royalty and District Mineral Foundation (DMF) disputes, allegations of illegal mining, land acquisition challenges, rehabilitation obligations, and water usage permissions. The regulatory landscape is highly litigation-driven and enforcement-focused, involving multiple authorities, with changes in taxation or auction frameworks directly influencing profitability.

On the disclosure front, the Company must comply with expanding ESG reporting requirements under SEBI's BRSR framework, IFRS sustainability standards, EU regulations, and TNFD/TCFD-aligned frameworks. As disclosures become more assurance-driven, there is an increasing risk of liability for directors and management, along with potential reputational implications.

Steel manufacturing and mining are inherently high-risk industries from a safety perspective. Regulatory exposure arises under occupational safety laws, the Factories Act, environmental health regulations, and criminal liability provisions. Key risks include workplace accidents, exposure to hazardous substances, contractor safety issues, and potential prosecution of management.

Additionally, the global steel industry is subject to extensive trade regulations, including safeguard duties, anti-dumping actions, import quotas, and tariffs. Tata Steel's European and UK operations are particularly vulnerable to shifts in import quotas, excess global supply (especially from China), and trade defence investigations.

Competition law poses a significant risk for Tata Steel, with the steel sector closely monitored for practices such as price coordination, market allocation, procurement collusion, and abuse of dominance. Exposure spans procurement, distribution, trade associations, and joint ventures, with potential consequences including substantial penalties, director liability, and reputational damage. In India, Tata Steel is currently under investigation following a 2021 criminal petition by the Coimbatore Corporate Contractors Welfare Association

alleging coordinated pricing, supply restrictions, and market manipulation. Acting on directions from the Hon'ble Madras High Court, the Director General of the Competition Commission of India initiated the probe. Originally focused on Thermo-Mechanically Treated ('TMT') bars, the investigation has since expanded to include Hot Rolled Coils ('HRC') and Cold Rolled Coils ('CRC'). Tata Steel is among 32 steel producers under investigation before the Competition Commission of India.

Tata Steel's global footprint exposes it to broader geopolitical and trade-related risks, including sanctions, export controls, logistics disruptions, and supply chain constraints. Key concerns include energy price volatility, shipping disruptions, compliance with sanctions regimes, and restrictions on raw material sourcing.

Risks for TSTH included the non-renewal of Anti-Dumping/Anti-Circumvention measures, while the Thai government's five-year ban on new steel bar factory establishment and capacity expansion (2025–2030), aimed at addressing oversupply, also limited investment opportunities.

Mitigation Strategies

To address these challenges, Tata Steel India actively collaborates with relevant ministries and regulatory authorities to strengthen policy frameworks promoting fair trade, infrastructure development, and efficient logistics. Tata Steel closely monitor global trade trends and regulatory changes to proactively assess their implications and ensure timely, informed policy and strategic responses. Strategic engagement with policymakers and industry bodies remains a key approach to enabling a stable and predictable operating environment for the sector.

Tata Steel is aware of the recent allegations regarding cartelisation in the steel sector and denies any wrongdoing or involvement whatsoever. The Steel industry is a global industry with 1.5 billion tons produced annually and driven by international macro factors with very long supply chains. In India, there are no barriers to entry for setting up capacities in the country and the pricing of steel products operates within a transparent, market-based framework shaped by industry dynamics, supply-demand factors, unique customer needs that require pre-approvals, global commodity prices and supply chain trends and global & local competitive

structures. Tata Steel determines its prices independently, based on prevailing market conditions, and other relevant commercial considerations including customer needs. The matter is presently under consideration before the Competition Commission of India. Tata Steel will place its detailed response and submissions before the Competition Commission of India in accordance with due process.

At the Netherlands, health and a clean-living environment remain key priorities, as they do for local residents and stakeholders. Through substantial investments outlined in Roadmap+, TSN has achieved significant improvements in areas of concern for the neighbouring community over the past five years. Additionally, TSN is ranked among the leading global blast furnace-based steel producers in terms of CO₂ efficiency, with performance metrics well below both European and global averages. TSN continues to invest and work on initiatives to enhance the healthy living environment and to reduce impact of operations on the surrounding community in IJmuiden. As part of the Green Steel Plan, developed through a non-binding Joint Letter of Intent with the Dutch Government, Tata Steel Limited and TSN have engaged with stakeholders to define additional targeted measures that extend further beyond legal requirements.

Alongside decarbonisation initiatives intended to promote a healthier living environment, TSN is dedicated to minimising its contributions to coarse and fine particulate matter (PM10) emissions, as well as reducing annual releases of substances of very high concern, NO_x, SO₂, odours, and noise. Through these initiatives, TSN seeks to enhance the living environment in the IJmond region. TSN continues to work collaboratively with the local residents and remains committed to improving the environmental standards even further. TSN is committed and will continue to focus on environmental preservation and addressing community concerns through collaboration with the Government and other stakeholders towards a sustainable future for all stakeholders.

Further, TSN and TSUK continue to manage evolving regulatory expectations, closely tracking import trends and working with EUROFER to assess the need for additional trade defence measures amid continued dumping pressures, while uncertainties around CBAM remain a key focus area for both entities.

Both TSN and TSUK monitor EU and UK policy developments to optimise decarbonisation capex and adjust commercial strategies (redirected affected volumes away from the US towards European and other alternative markets), in response to global protectionism, including exposure to U.S. Section 232 tariffs.

TSUK is advancing its EAF based decarbonisation transition at Port Talbot, supported by government approvals and environmental impact processes, helping ensure future regulatory alignment.

TSUK is operating in line with the recently announced UK Steel Strategy, which strengthens trade remedy protections, addresses energy cost competitiveness, supports decarbonisation, and helps mitigate quote-driven import volatility

TSTH measures include engagement with authorised bodies to strengthen Anti-Dumping/Anti-Circumvention enforcement and expand the Thai Industrial Standards Institute ('TISI') scope to enhance trade protection, supported by extending AD coverage to High Carbon Wire Rod ('HCWR') and reporting circumvention cases to the government.

Operational Risks

The steel sector is increasingly exposed to a broad spectrum of risks. Extreme weather events disrupt global supply chains, while shifting regulations and persistent logistics challenges strains operational efficiency. Cybersecurity vulnerabilities pose serious threats to digital infrastructure, amplifying the need for robust defence. Internally, aging equipment, unexpected breakdowns, and delayed maintenance heighten the risk of costly downtime. Moreover, interruptions in critical utilities—such as electricity, water, and gas—can significantly impede production processes, reducing output and impacting overall performance.

TSUK faces operational risk from its transition away from blast-furnace operations, leading to temporary disruptions, reduced operating levels, and restructuring-related downtime at Port Talbot, along with execution risks tied to EAF construction, commissioning, and scrap-supply adaptation.

TSN is exposed to operational challenges such as meeting strict environmental-compliance requirements, reduced LD-slag disposal options and implementing dust - and emissions-reduction measures at its current operations to structurally resolve outstanding Health and Environment concerns.

Mitigation Strategies

The maintenance functions have been consolidated to bring synergy across locations in India. The Company has adopted real-time asset monitoring for both preventive and predictive maintenance, ensuring regular upkeep and the reliability of machinery. An Integrated Maintenance Excellence Centre (i-MEC) has been established to maintain the availability, reliability, and integrity of all critical assets, including safety. Additionally, a smart indenting system is being deployed to drive site-specific efficiencies, with accelerated vendor discovery through reverse auctions, planned De-Prop and digitally enabled condition-based maintenance as key value drivers.

Standardising maintenance practices and utilising integrated asset digital analytics bolster predictive maintenance, enabling accurate asset health predictions via the Internet of Things (IoT) and Condition-Based Maintenance. The focus is on optimising costs through synergistic collaboration which strengthens the vendor partner ecosystem and promotes seamless cross-locational synergy. Periodic upgrades to key facilities at Jamshedpur are planned as part of efforts to replace ageing equipment.

To improve the structural integrity and safety of gas lines, the Company is utilising drone-based technologies for condition monitoring and thermography to detect potential blockages. The Power system is being restructured to ensure continuous power availability while optimising grid isolating protection settings. Geopolitical situations and supply chain disruptions have heightened the uncertainty regarding the availability of spare parts, especially those dependent on limited geographic vendors. The Company thus emphasises indigenisation of spares to achieve self-reliance and digitisation of processes for optimised inventory management, aligning with the 'Make-in-India' initiative to encourage vendor partners to supply high-quality spares along with benchmark lead times.

Recognising the increasing unpredictability of weather patterns, including extreme heat and heavy rainfall, the Company has developed a comprehensive disaster response plan. This plan includes clear standard operating procedures to effectively address natural disasters, epidemics, pandemics and extreme weather events, ensuring the safety of the Tata Steel workforce and the continuity of business operations across geographies.